

Investment-Related Costs are the costs that arise during the investment decision phase of the investment cycle. They occur from the time of the investment decision to the time the order is released to the market. These costs often arise due to lack of communication between the portfolio manager and trader in deciding the proper implementation objective (strategy), or due to a delay in selecting the appropriate broker or algorithm. The longer it takes for the manager and trader to resolve these issues, the higher potential for adverse price movement and higher investment cost. Traders often spend valuable time investigating how trade lists should be implemented and what broker or trading venue to use. The easiest way to reduce investment-related transaction cost is the use of proper pre-trade analysis, alternative strategy evaluations, and algorithm selections in order for the manager and traders to work closely together to determine the strategy most consistent with the investment objective of the fund.

Trading-Related Costs. Trading-related transaction costs comprise the largest subset of transaction costs. They consist of all costs that occur during actual implementation of the order. While these costs cannot be eliminated, they can be properly managed based on the needs of the fund. The largest trading-related transaction costs are market impact and timing risk. However, these two components are conflicting terms and often referred to as the “trader’s dilemma,” as traders need to balance this trade-off based on the risk appetite of the firm. Market impact is highest utilizing an aggressive trading strategy and lowest utilizing a passive strategy. Timing risk, on the other hand, is highest with a passive strategy and lowest with an aggressive strategy. Market impact and timing risk are two conflicting terms.

Opportunity Cost. Opportunity cost, as stated above, represents the foregone profit or loss resulting from not being able to fully execute the order within the allotted period of time. It is measured as the number of unexecuted shares multiplied by the price change during which the order was in the market. Opportunity cost will arise either because the trader was unwilling to transact shares at the existing market prices (e.g., prices were too high) or because there was insufficient market liquidity (e.g., not enough sellers for a buy order or buyers for a sell order) or both. The best way to reduce opportunity cost is for managers and traders to work together to determine the number of shares that can be absorbed by the market within the manager’s specified price range. If it is predetermined that the market is not able to absorb all shares of the order within the specified prices, the manager can modify the order to a size that can be easily transacted at their price points.